

ECONOMIC APPLICATIONS

Maximum Marks: 100

Time allowed: Two hours

1. *Answers to this Paper must be written on the paper provided separately.*
 2. *You will **not** be allowed to write during the first 15 minutes.*
 3. *This time is to be spent in reading the question paper.*
 4. *The time given at the head of this Paper is the time allowed for writing the answers.*
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5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
 6. *The intended marks for questions or parts of questions are given in brackets[].*

Instruction for the Supervising Examiner

Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.

This paper consists of 12 printed pages.

SECTION A (40 Marks)

(Attempt *all* questions from this *Section*.)

Question 1

[20]

Choose the correct answers to the questions from the given options.

(Do not copy the questions, write the correct answers only.)

(i) The type of profit earned by a perfectly competitive firm in the *long run* is called:

- (a) Real profit
- (b) Normal profit
- (c) Super-normal profit
- (d) Abnormal profit

(ii) **Assertion (A):** In case of substitute goods, demand for a commodity falls with the fall in price of the substitute commodity.

Reason (R): In case of complementary goods, demand for a commodity rises with a fall in the price of complementary commodity.

- (a) (A) is true and (R) is false.
- (b) (A) is false and (R) is true.
- (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

(iii) The price of a commodity falls from ₹ 8 to ₹ 6. The quantity supplied falls from 100 units to 80 units. The *price elasticity* of supply is:

- (a) 0.0008
- (b) 8.0
- (c) 0.8
- (d) 00.008

- (iv) Circulating capital is used once in production, whereas _____ capital can be used again and again.
- (a) fixed
 - (b) floating
 - (c) debt
 - (d) sunk
- (v) If the price of the commodity decreases from ₹ 70 per unit to ₹ 60 per unit, and the quantity demanded remains the same, then the *price elasticity of demand* for that commodity will be:
- (a) infinite
 - (b) zero
 - (c) one
 - (d) less than one
- (vi)



The above image can be identified as _____ goods.

- (a) substitute
- (b) inferior
- (c) normal
- (d) complementary

(vii) Match the following:

1.	Expansion of supply	P.	Rightward shift of supply curve.
2.	Increase in supply	Q.	Upward movement along a supply curve.
3.	Decrease in supply	R.	Downward movement along a supply curve.
4.	Contraction in supply	S.	Leftward shift of supply curve.

- (a) 1-P, 2-Q, 3-S, 4-R
- (b) 1-Q, 2-R, 3-P, 4-S
- (c) 1-Q, 2-P, 3-S, 4-R
- (d) 1-R, 2-S, 3-P, 4-Q

(viii) 24-carat gold is an example of a _____.

- (a) Perfectly competitive market
- (b) Monopolistically competitive market
- (c) Monopoly market
- (d) Monopsony market

(ix) An impact of urbanisation on the environment is:

- (a) growth of hygienic slums.
- (b) lack of proper drainage facilities.
- (c) high growth of natural habitat.
- (d) less industrialisation.

- (x) Identify the type of capital good from the given image:



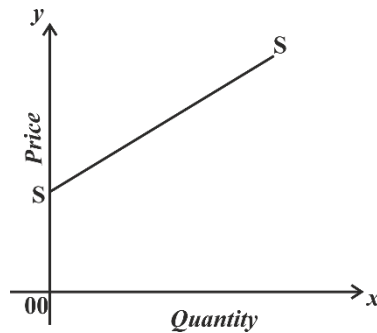
- (a) Sunk Capital
 - (b) Fixed Capital
 - (c) Money Capital
 - (d) Circulating Capital
- (xi) In which of these production processes is division of labour **NOT** possible?
- (a) Manufacturing textiles
 - (b) Automobile production
 - (c) Production of Steel
 - (d) Painting a picture
- (xii) Identify the tax which is most likely to create *civic consciousness*.
- (a) Income tax
 - (b) Goods and Services tax
 - (c) Entertainment tax
 - (d) Customs duty

- (xiii) Capital goods which can be used in various lines of production is _____.
- (a) Debt capital
 - (b) Social capital
 - (c) Floating capital
 - (d) Real capital
- (xiv) Mrs. Lal, an entrepreneur, appoints managers and supervisors to look after the day-to-day functioning of her company. Which *function* is she performing?
- (a) Innovation
 - (b) Delegation
 - (c) Planning
 - (d) Risk bearing
- (xv) Which section of the society *is adversely* affected by inflation?
- (a) Wage earners
 - (b) Producers
 - (c) High Income Group
 - (d) Fixed Income Group
- (xvi) **Assertion (A):** Stationery owned and used by a student is not a capital.
- Reason (R):** A student does not perform any economic activity with the stationery.
- (a) (A) is true and (R) is false.
 - (b) (A) is false and (R) is true.
 - (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
 - (d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

(xvii) When money is used to *settle debts* or *make payments in the future*, it is said to perform the function of:

- (a) Standard of deferred payment
- (b) Measure of value
- (c) Store of value
- (d) Medium of exchange

(xviii) Identify the degree of elasticity from the curve given below.



- (a) $e_s < 1$
 - (b) $e_s > 1$
 - (c) $e_s = 1$
 - (d) $e_s = \alpha$
- (xix) A policy under which the government uses its expenditure and revenue programmes to produce a desirable effect on the national income, production and employment is _____.
- (a) Monetary Policy
 - (b) Wage Policy
 - (c) Fiscal Policy
 - (d) Price Policy

- (xx) Which of the following can cause a *rightward shift* of the supply curve for vegetables?
- (a) Increase in the price of vegetables
 - (b) Decrease in the price of vegetables
 - (c) Increase in the wages of farm labourers
 - (d) Increase in the subsidy given by the government

Question 2

- (i) '*Capital is the result of Past labour.*' Justify. [2]
- (ii) '*The Government introduces subsidies for solar panel producers to promote renewable energy.*' Give a graphical representation of the impact on a supply curve. [2]
- (iii) Mention a way by which direct tax can reduce income inequality. [2]
- (iv) State the role of the public sector in creating a strong industrial base. [2]
- (v) What is *hyperinflation*? [2]

Question 3

- (i) State two *similarities* between *monopolistic competition* and *monopoly competition*. [2]
- (ii) '*A worker in a factory is experiencing fatigue and lack of motivation due to repetitive tasks.*' [2]
Explain the disadvantage of *division of labour* stated above.

- (iii) Calculate *price elasticity of supply* on the basis of the following data: [2]

Price (₹)	Quantity (kg)
10	200
15	225

- (iv) State a *difference* between *Inferior goods* and *Giffen goods*. [2]
- (v) Explain *form utility* with an example. [2]

SECTION B (60 Marks)

(Answer **any four** questions from this **Section**.)

Question 4

- (i) [7]

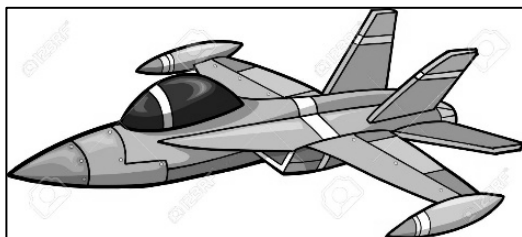


Image 1



Image 2

- (a) Identify the *two* types of market forms depicted above in Image 1 and Image 2.
- (b) State *any one* difference between the identified forms of markets.
- (c) Explain *three* features of the market form identified by you in Image 2.
- (ii) (a) What is *perfectly elastic supply*? [8]
- (b) Explain how the following factors determine the price elasticity of supply:
1. Time horizon
 2. Cost of production
 3. Production technology

Question 5

(i)



[7]

- (a) Identify and explain the concept shown in the above image.
 - (b) What is *land*?
 - (c) *Land has alternative uses*. Explain.
- (ii) 'The principal function of any Commercial Bank is to accept deposits from different individuals and institutions.' On the basis of this statement, answer the following:
- (a) What is a *savings bank account*?
 - (b) Compare the rate of interest of *fixed deposit* and *savings bank account*.
 - (c) Give *any two* advantages of depositing money with *Commercial Banks*.

Question 6

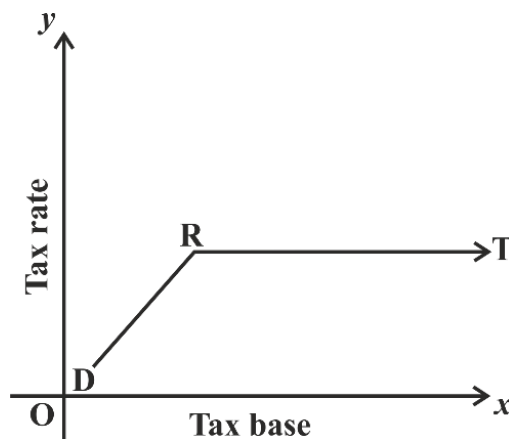
- (i) (a) What is *Privatisation*? [7]
- (b) Elaborate the following arguments in favour of privatisation:
 - 1. Greater flexibility in decision making
 - 2. Creation of competitive environment
 - 3. Greater investment, employment and income opportunities

(ii) Explain the following functions of money: [8]

- (a) Measure of value
- (b) Maximisation of profit

Question 7

(i) [7]



- (a) Which type of tax is indicated in the above graph? Explain.
 - (b) Give *any two* differences between *regressive tax* and the type of tax mentioned by you in (a) above.
- (ii) (a) Explain *Open Market Operations (OMO)*. [8]
- (b) Describe *any one* quantitative method of credit control.

Question 8

- (i) (a) Why is labour *perishable*? [7]
- (b) 'The efficiency of workers in India is observed to be lower than that in the economically advanced countries of the world.'
- Explain *any three* causes of low level of efficiency of workers in India.

- (ii) (a) Distinguish between *expansion* of demand and *increase* in demand on the basis of meaning, schedule and graph. [8]
- (b) State the *law of demand*.

Question 9

- (i) Read the extract given below and answer the questions that follow: [7]

India's retail inflation hit a six-year low, but state-wise data reveals significant variations. Ten states and union territories, including Kerala, Punjab and Jammu and Kashmir, experienced inflation rates exceeding the national average of 2.7% in the first quarter. Food, fuel, and personal care costs were key drivers, with differing state-level weights contributing to the upward bias.

— Anoushkha Sawhney, ET, July 17, 2025

- (a) What is *inflation*?
- (b) Explain *any two* favourable impacts of *mild inflation* on the economy of a country.
- (c) What are the *key drivers* of inflation according to the above extract?
- (ii) (a) Explain *one* important function of the Reserve Bank of India. [8]
- (b) State a difference between *Loan* and *Overdraft*.
- (c) Mention *any two* agency functions of Commercial Bank.